spendwise

Spending Plans

FINANCE CLASSROOM

Opportunity Cost of Spending Plans

- Consumers may feel like having a budget is confining or restrictive, but it actually gives them more freedom and more options.
- By paying attention to where money is spend, wiser choices can be made.
- With more freedom, more options, wiser choices, more money can be spent on items of value.

How do I make a spending plan?

1. Assess your personal financial situation (needs, values, life situation).
2. Set personal and financial goals.
3. Create a budget for fixed and variable expenses based on projected income.
4. Monitor current spending (saving, investing) patterns.
5. Compare your budget to what you actually spent.
6. Review financial progress and revise budget amounts.

FINANCE IN THE CLASSROOM

Name _____ Date _____

SPENDING PLAN

FOR MONTH OF: _____

	PLAN	ACTUAL
MONTHLY INCOME		
Earned Income	$_____	$_____
Unearned Income	$_____	$_____
TOTAL INCOME	$_____	$_____
MONTHLY EXPENSES		
Fixed Expenses		
Pay Yourself First	$_____	$_____
Car Payment	$_____	$_____
Car Insurance	$_____	$_____
Other _____	$_____	$_____
Other _____	$_____	$_____
Total Fixed Expenses	$_____	$_____
Variable Expenses		
Savings	$_____	$_____
Gas	$_____	$_____
Food	$_____	$_____
Clothing	$_____	$_____
Entertainment	$_____	$_____
School Supplies	$_____	$_____
Activities	$_____	$_____
Charitable Giving	$_____	$_____
Other	$_____	$_____
Total Variable Expenses	$_____	$_____
TOTAL EXPENSES (Fixed + Variable Expenses)	$_____	$_____
PROFIT OR LOSS (Income – Total Expenses)	$_____	$_____

ADJUSTMENTS FOR NEXT MONTH: _____

Earned income
Money generated from employment or retirement funds.

Unearned income
Money received for no exchange, such as a gift.

Pay Yourself First®
The idea that savings should be a regular part of a spending plan and should happen before variable expenses.

Fixed expenses
Occur every period and are typically about the same amount.

Variable expenses
May or may not occur every period and do not have a constant value.

To Reduce Negative Cash Flow:

- Increase Income
  - After school/weekend job
  - Additional chores around the house
  - Yard work
  - Babysitting
  - Summer job
  - Dogwalking
  - Housesitting
  - Garage sale
  - Provide a service

Guidelines for a Budget

- Housing & Utilities 30%
- Food & Household 20%
- Clothing & Personal 10%
- Transportation 10%
- Saving & Investing 10%
- Miscellaneous 20%

More expenses than income?

- **Negative cash flow**
- Negative cash flow typically results in debt.
- Part of being financially independent is spending less than you earn.

Unearned Income	$_____	$_____
TOTAL INCOME	$_____	$_____
TOTAL EXPENSES (Fixed + Variable Expenses)	$_____	$_____
PROFIT OR LOSS (Income – Total Expenses)	$_____	$_____

ADJUSTMENTS FOR NEXT MONTH: _____

Before creating a spending plan…

- Track your spending.
  - Before making a budget, spend a couple of weeks writing down every penny you spend.
  - This will help you have a better idea of where your dollar amounts should be when making a budget.

Consequences of NOT Using a Spending Plan

- No idea where money has been spent
- Bad spending habits are unidentified
- Unprepared for emergencies
- Strained relationships
- Lack of savings plan
- Wasted money
- Stress

Benefits of Spending Plans

A spending plan can help you:

- Put aside money for savings goals
- Prepare for regular expenses
- Prepare for unexpected expenses
- Control how you spend money
- Reduce stress and increase confidence
- Provide an excuse to calm excessive spending

Spending Plans

- Are simply road maps the help people reach financial goals
- Need to be flexible to change with various life stages
- Are not difficult to establish but do take **time** and **commitment**.
- ***Recommended to track spending prior to creating a budget.*

- NOTE: There should not be any money left over in a budget. If there is, it should be put into the savings or charitable giving column.

What is a spending plan?

- A tool used to record and track projected and actual income and expenses over a period of time.
- Also called a budget.

What tools help in budgeting?

- Envelope System
- Computer Programs
- Paper Tracking

Envelope System

- Each envelope is labeled for the category of spending.
- Each pay period, a pre determined amount of money is placed in each envelope for each category.
- Each time money is spent from an envelope, the transaction details (date, vendor, amount, etc.) is recorded on the outside of the envelope.
- When the envelope is empty, spending ceases!

Computer Program

File Edit Tools Online Cash Flow Investing Property & Debt Planning Tax Reports Help

Back Update Reports Services Quicken.com Calc Port Budget Customize

Quicken Home

Cash Flow Center

Checking	1,385.56
Savings	23,560.00
Credit Card	-203.45
	$24,742.11

Investing Center

ABC Brokerage	43,515.45
Rob's 401k	34,943.02
Stephanie's IRA	2,593.88
	$81,052.35

Property & Debt

Home	290,000.00
Home Loan	-221,564.39
	$68,435.61

Net Worth $174,230.07

Financial Overview

Customize Hide Amounts

Checking Register Overview

Delete Find Transfer Reconcile Write Checks Update Now Report Options How Do I?

Date	Num	Payee/Category/Memo	Payment	Clr	Deposit	Balance
5/2/2003	1104	Credit Card [Credit Card]	787 50			2,058 65
5/4/2003	1105	Home Mortgage --Split--	1,342 49			716 16
5/8/2003	1106	Electric Company Utilities:Gas & Electric	198 15			518 01
5/9/2003	1107	Telephone Company Utilities:Telephone	47 30			470 71
5/10/2003	DEP	Rob's Paycheck --Split--			1,697 09	2,167 80
5/10/2003	1108	Golf Warehouse Entertainment Golf	782 24			1,181 28
5/21/2003	Num	Gas Company Category Memo	Payment		Deposit	

Enter Edit Split

Online Balance: 399.57 **Ending Balance:** 1,385.56

Downloaded Transactions (20) Scheduled Transactions (0)

Download Transactions Make an Online Payment (Last download on 5/21/2003)

CHECK REGISTER

NUMBER	DATE	DESCRIPTION OF TRANSACTION	DEBITS (-) CHECKS FEES		✔	CREDITS (+) DEPOSITS INTEREST		BALANCE $ 105 26	
214	12 03	Patton Auto Shop	32	67				-32	67
		Car Mats						72	59
	12 05	Deposit				150	47	+150	47
		Paycheck						223	06
215	12 07	Computer Outlet	45	29				-45	29
		Laser Cartridges						177	77
216	12 11	Pay-by-Phone Tele. Bill	26	14				-26	14
		December Phone Bill						151	63
217	12 15	Photo Mart	14	80				-14	80
		Camera Film						136	83
218	12 16	The Gallery	64	75				-64	75
		Clothes						72	08
219	12 16	Debit Card	23	90				-23	90
		Tri-State Mall/CD						48	18
	12 20	Deposit				636	05	+636	05
		Paycheck						684	23
		Fee						5	00
								679	23

RECONCILE

ACCOUNT STATEMENT

Account Summary

BEGINNING BALANCE	105.26 (+)	ACCOUNT NUMBER
DEPOSITS/CREDITS	150.47	207983
CHECKS/DEBITS	102.51 (-)	STATEMENT DATE
ENDING BALANCE	153.22	12 31 20--

Checking Summary

12/03	CHECK 214	32.67 –
12/05	DEPOSIT	150.47 +
12/15	CHECK 217	14.80 –

Other Account Activity

12/11	PAY-BY-PHONE - National Electric Co.	26.14 –
12/16	DEBIT CARD PAYMENT-Tri-State Mall	23.90 –
12/31	SERVICE CHARGE	5.00 –

HOW TO BALANCE YOUR ACCOUNT

1. Check off entries in the register that match entries on the statement
2. List the checks and other payments that are still outstanding
3. Subtract bank charge(s) from your checkbook.
4. Complete the reconciliation form shown below.

CHECKS OUTSTANDING		
No. 215	$ 45	29
218	64	75
TOTAL	110	04

BALANCE SHOWN ON STATEMENT	$ 153	22
ADD DEPOSITS NOT SHOWN	636	05
SUB-TOTAL	789	27
SUBTRACT CHECKS OUTSTANDING	110	04
BALANCE	679	23

Paper Tracking

- Always record transactions in a check register or on the outside of the envelope for each category.

Check Number	Date	Description of Transaction	Payment/ Debit (-)			Fee	Deposit/ Credit (+)		Balance	
	2/20	Opening Deposit	$				$200	00	$200	00
105	2/26	Coffee Mart	19	75					19	75
									180	25
	3/12	ATM	100	00					100	00
									80	25
	3/22	Deposit					30	00	30	00
									110	25
	3/23	Deposit					50	00	50	00
									160	25
	3/23	Cash Back from Deposit	25	00					25	00
									135	25
	3/18	Monthly Fee				2.00			2	00
									133	25

REMEMBER!!!

- It is important to remember that budgets can and should change from time to time.
- After following a budget for a month, re-evaluate it and make changes as necessary.

Large purchases

- When adjusting a budget, consider future large purchases and consider saving up for that item and paying cash for it.
- When a home or automobile is purchased, other budget categories, such as entertainment and clothes, may need to be cut back in order to compensate for the larger purchase.

Review

Financial independence is achieved by reducing spending, earning more, saving more, and avoiding negative cash flow.

A **spending plan** is a tool to assist one in tracking and monitoring income and expenses and avoiding negative cash flow.